07.04.2026

NBR Board decisions on monetary policy

In its meeting of 7 April 2026, the Board of the National Bank of Romania decided the following:

to keep the monetary policy rate at 6.50 percent per annum;
to leave unchanged the lending (Lombard) facility rate at 7.50 percent per annum and the deposit facility rate at 5.50 percent per annum;
to maintain the existing levels of minimum reserve requirement ratios on both leu- and foreign currency-denominated liabilities of credit institutions.

The annual inflation rate continued to decrease slowly in the first two months of 2026 to reach 9.31 percent in February from 9.69 percent in December 2025. This owed mainly to the significant declines in the dynamics of electricity and natural gas prices, which were partly offset in terms of impact by the opposite developments in VFE prices, administered prices, and the prices of tobacco products and fuels.

In turn, the annual adjusted CORE2 inflation rate halted its rise at the beginning of the year, posting a small drop in the first two months as a whole – to 8.3 percent in February 2026 from 8.5 percent in December 2025 –, under the impact of disinflationary base effects and the decrease in the prices of some agri-food commodities and in the dynamics of import prices, but also amid weaker consumer demand.

The annual inflation rate calculated based on the Harmonised Index of Consumer Prices (HICP – inflation indicator for EU Member States) went down to 8.3 percent in February 2026 from 8.6 percent in December 2025. The average annual CPI inflation rate rose, however, to 8.1 percent in February 2026 from 7.3 percent in December 2025, while the average annual HICP inflation rate picked up to 7.3 percent in February 2026 from 6.8 percent in December 2025.

Economic activity contracted by 1.9 percent in 2025 Q4, after shedding 0.1 percent in the previous quarter (quarterly change), which makes it likely for the aggregate demand deficit to widen more visibly over this period compared to expectations.

Annual GDP growth slowed to 0.2 percent in 2025 Q4 from 1.7 percent in Q3, mainly due to the steep fall into negative territory of the contribution made by the change in inventories, but also as a result of the moderate contraction, in annual terms, of household consumption during this period.

By contrast, gross fixed capital formation continued to see a faster robust increase in annual terms and the impact of net exports became expansionary again, given that the annual growth rate of exports of goods and services outpaced again that of imports in terms of volume, posting a relatively more modest drop as against the previous quarter. Consequently, the trade deficit saw an even stronger contraction in annual terms in 2025 Q4, while the current account deficit continued to shrink mildly, the pronounced worsening of income balances notwithstanding.

The latest data and analyses point to a slight recovery in economic activity in 2026 Q1 compared to the previous quarter, associated however with a renewed decrease in the annual GDP dynamics amid relatively similar developments across the aggregate demand components and major sectors.

Specifically, in January 2026, retail sales and the volume of services to households witnessed a markedly stronger annual decline, while the annual dynamics of the volume of construction works continued to decrease swiftly, posting a moderate return to negative territory. At the same time, industrial output saw a significantly larger year-on-year contraction, while the annual change in the exports of goods and services visibly narrowed its positive gap against that in imports, reporting a relatively more pronounced decline from 2025 Q4 and thus moving into negative territory. However, in January 2026 the trade deficit saw a steeper contraction in annual terms, and the current account deficit accelerated even faster its decline, given the improvement in the secondary income balance.

In January 2026, the number of employees economy-wide followed a more pronounced trend of monthly declines after the halt in mid-2025 Q4, thus widening its contraction in annual terms. Meanwhile, the ILO unemployment rate went down January through February 2026, after rising to an average of 6.2 percent in 2025 Q4. However, surveys related to 2026 Q1 indicate that employment intentions over the very short horizon weakened visibly (after a soft recovery in 2025 Q4) and that the labour shortage reported by companies posted a sharp contraction, inter alia in the context of the energy crisis and amid the elevated uncertainty stemming from the Middle East conflict. At the same time, the annual growth rate of nominal gross wage posted a faster drop in January 2026, while that of the unit labour cost in industry decreased markedly compared to the still high levels seen in the second half of 2025.

The main interbank money market rates continued to decrease in February 2026, but climbed at the beginning of March and then consolidated at visibly higher readings. Moreover, medium- and long-term yields on government securities steepened their downtrend in mid-Q1 of 2026, before witnessing sizeable increases in the first two 10-day periods of March, only to a small extent corrected afterwards, amid the abrupt deterioration of investor sentiment – especially towards markets in the region –, once with the outbreak of the war in the Middle East, conducive to a global energy crisis. The EUR/RON exchange rate recorded a rise as well, albeit relatively modest, including from a regional perspective, and then tended to stay at the new levels, given inter alia the considerable improvement in the balance of residents’ transactions in the interbank forex market.

The annual pace of increase of credit to the private sector halted the downward trend it had embarked on in June 2025, posting mild pick-ups in the first two months of 2026, to 6.8 percent in February from 6.2 percent in December 2025, as the leu-denominated component reaccelerated very slightly its growth, while the rate of change of foreign currency credit steepened its upward path, on the back of developments in loans to non-financial corporations. The share of the domestic currency component in credit to the private sector narrowed further, to 67.8 percent in February 2026 from 68.2 percent in December 2025.

According to current assessments, the annual inflation rate will step up in the period from March to June 2026 to higher-than-previously-anticipated levels, mainly following the influences expected to stem from costlier fuels, amid the considerable rises in oil and natural gas prices in the context of the Middle East war. They will overlap the unfavourable base effects that will be manifest in 2026 Q2 in the energy segment, as well as the transitory direct effects exerted since 2025 H2 by the expiry of the electricity price capping scheme and by the increases in VAT rates and excise duties, which will dissipate in 2026 Q3 and thus entail an abrupt downward correction of the annual inflation rate.

At the same time, the progress in the budget correction initiated in 2025 is likely to strengthen in the future the underlying disinflationary pressures, especially from aggregate demand – with favourable implications for inflation expectations as well –, and lead to the further adjustment of the current account deficit.

Uncertainties are, nevertheless, still associated with the measures likely to be adopted in the future in order to continue budget consolidation beyond this year in line with the National Medium-Term Fiscal-Structural Plan agreed with the European Commission and with the excessive deficit procedure.

High uncertainties and risks to the outlook for economic activity, implicitly the medium-term inflation developments, arise however from the Middle East war and the ongoing global energy crisis, via the effects potentially exerted, through multiple channels, on consumer purchasing power, as well as on firms’ activity and profits, also by affecting the dynamics of economies and inflation in Europe/worldwide and the risk perception towards the region, with an impact on financing costs.

At this juncture, the absorption and use to the maximum of EU funds, especially those under the NRRP, are essential for partly counterbalancing the contractionary effects of budget consolidation and of the Middle East conflict, as well as for carrying out the necessary structural reforms, energy transition included.

The ECB’s and the Fed’s monetary policy decisions, as well as the stance of central banks in the region, are also relevant.

Based on the currently available data and assessments, as well as in light of the very high uncertainties, the NBR Board decided in the meeting held today, 7 April 2026, to keep the monetary policy rate at 6.50 percent per annum. Moreover, it decided to leave unchanged the lending (Lombard) facility rate at 7.50 percent per annum and the deposit facility rate at 5.50 percent per annum. Furthermore, the NBR Board decided to maintain the existing levels of minimum reserve requirement ratios on both leu- and foreign currency-denominated liabilities of credit institutions.

The NBR Board decisions aim to ensure and maintain price stability over the medium term, in a manner conducive to achieving sustainable economic growth. The NBR Board reiterates that, at the current juncture, the balanced macroeconomic policy mix and the implementation of structural reforms, also by using EU funds to foster the growth potential over the long term, are of the essence for a stable macroeconomic framework and for strengthening the capacity of the Romanian economy to withstand adverse developments.

The NBR closely monitors developments in the domestic and international environment and stands ready to use the tools at its disposal in order to achieve the fundamental objective regarding medium-term price stability, while safeguarding financial stability.

The account (minutes) of discussions underlying the adoption of the monetary policy decision during today’s meeting will be posted on the NBR’s website on 22 April 2026 at 3:00 p.m.

The next monetary policy meeting of the NBR Board will be held on 15 May 2026.

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EUR

5.2317

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4.5842

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610.5409

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